November 9, 2026 04:00 PM GMT

## Greater China Semiconductors | Asia Pacific

# Cloud Semis: Peak Growth, Less Upside

| WHAT'S CHANGED | | |
|---|---|---|
| **Montage Technology Co Ltd (6809.HK)** | **From** | **To** |
| Rating | Overweight | **Equal-weight** |
| Price Target | HK$432.00 | **HK$207.00** |
| **Montage Technology Co Ltd (688008.SS)** | | |
| Rating | Overweight | **Equal-weight** |
| Price Target | Rmb377.00 | **Rmb180.00** |
| **Aspeed Technology (5274.TWO)** | | |
| Rating | Overweight | **Equal-weight** |
| Price Target | NT$24,000.00 | **NT$14,417.00** |

We turn cautious on cloud semis as our US team expects ~20% of 2028 US data center capacity additions could shift to 2029, potentially impacting cloud semis suppliers' 2028 earnings.

## Key Takeaways

- Revisions look mature: Earnings-revision breadth is peaking; Asia supply-chain visibility on 2027/28 general-server production is weakening.
- Reduce exposure: Lower Montage estimates; downgrade Aspeed/Montage to EW.

**2028 capex under the spotlight.** We turned neutral on cloud semi suppliers in September 2024 on capex/revision peaking risks and GB200 execution concerns, then upgraded Aspeed in June 2025 as revisions approached a trough and rack-level execution improved (Cloud semis: time to turn constructive). AI agents reinforced our conviction in inference demand. In our recent note, Cloud Semis: Growing Cloud Capex into 2027, we remained constructive on our Cloud Semis coverage due to ongoing hyperscaler capex growth. However, after the US midterms, we are mindful of delays in project approvals and initiation, and existing labor and material constraints, in terms of what that could mean for hyperscalers' 2028 capex, and the build-out and capex cycle. Therefore, we see rising risks over the next 2-4 quarters for our coverage; earnings growth should provide support, but further multiple expansion may become more difficult, as the direction of growth matters more, even as absolute growth remains strong.

**Cut Montage & Aspeed to EW**. From our Asia supply-chain perspective, peaking revision breadth and greater uncertainty on 2027/28 general-server production warrants more conservative forecasts. Aspeed: we continue to like the stock from a longer-term perspective given its strong supply chain positioning but see limited rerating potential. Montage: we see potentially slower China procurement and derating risk; structural content growth remains supportive, but exposure reduction is preferable before deceleration. Upside risks include a resumption of earnings improvements, faster deployment and sustained capex acceleration beyond 1Q27.

MORGAN STANLEY TAIWAN LIMITED+

Daniel Yen, CFA
Equity Analyst
Daniel.Yen@morganstanley.com +886 2 2730-2863

Charlie Chan
Equity Analyst
Charlie.Chan@morganstanley.com +886 2 2730-1725

MORGAN STANLEY ASIA LIMITED+

Daisy Dai, CFA
Equity Analyst
Daisy.Dai@morganstanley.com +852 2848-7310

Ethan Jia
Research Associate
Ethan.Jia@morganstanley.com +852 3963-2287



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**GREATER CHINA TECHNOLOGY SEMICONDUCTORS**
**Asia Pacific**
Industry View **Attractive**

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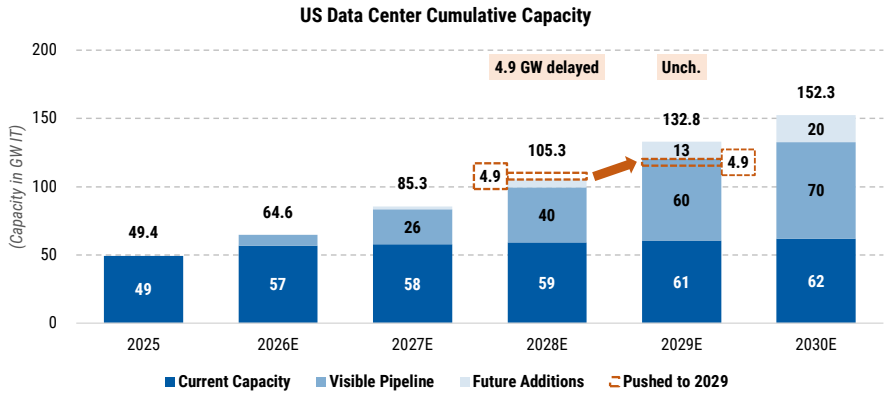
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**The cloud capex cycle is being impacted by the US midterms:** Our US team now expects a **~20%** of 2028 US data center capacity additions to shift to 2029, including some projects in Texas and Ohio, as governors introduce new data center legislation (Buy the Drop: AI Investment Opportunities Post the US Midterms by Stephen Byrd). Stephen has shifted ~5GW of US data center capacity additions from 2028 to 2029 ( Exhibit 1 ) (equivalent to 20% of US and 10% of global 2028 capacity additions). This implies US data center GW additions decline 4% Y/Y in 2028 before rising 38% Y/Y in 2029, while global data center additions increase 9% and 20% Y/Y in 2028 and 2029. Our US team believes this could create an air pocket across the tech supply chain in 2028, potentially reducing pricing power and leading to a inventory build. Despite potential project delays, our US team maintains its hyperscaler capex forecasts (Buy the Drop: AI Investment Opportunities Post the US Midterms) at US$1.6trn/US$1.8trn in 2027/28 ( Exhibit 4 ), as it expects the hyperscalers to spend and build as much capacity as they can, while attempting to adjust their build locations to other states that are more data center friendly (like Tennessee, Louisiana, and others).

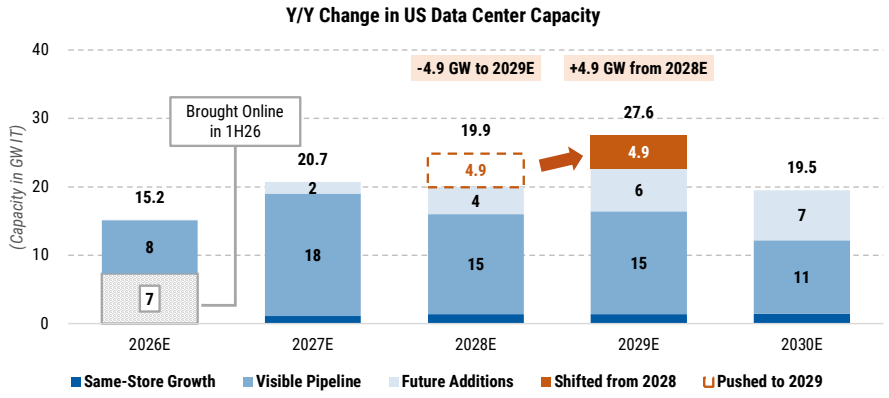
# Key Charts

**Exhibit 1:** US team now expects ~5 GW of capacity to be delayed from 2028 to 2029, reducing capacity estimates in 2028 while leaving 2029+ unchanged



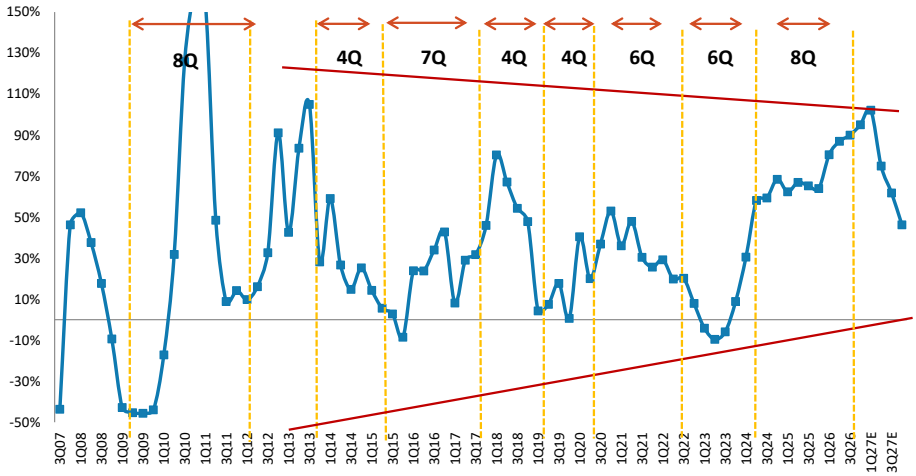

Source: Morgan Stanley US Research estimates

**Exhibit 2:** US team now expects a y/y incremental 19.9 GW to come online in the US in 2028 and 27.6 GW in 2029, while leaving the build-out unchanged in 2030



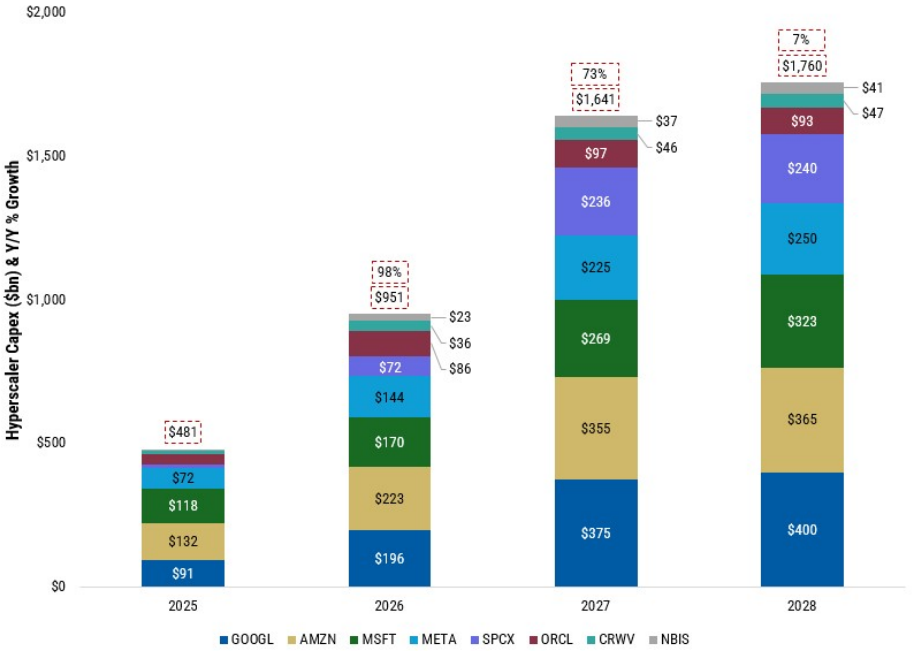

Source: Morgan Stanley US Research estimates

**Exhibit 3:** US cloud capex was +90% Y/Y in 3Q26, up from +87% in 2Q26




Source: Company data, Morgan Stanley US Research estimates; US cloud capex calculated from Alphabet, Microsoft, Amazon, and Meta.

**Exhibit 4:** Our US team's hyperscaler capex forecasts remain unchanged at $1.6T/ $1.8T in '27/'28…with potential downward bias in '28 if builds are delayed




Source: Company data, Morgan Stanley US Research estimates

# Aspeed: Estimate Revisions

**We raise our EPS estimates by 6%/10%/10% for 2026/27/28, respectively:** We incorporate preliminary 3Q26 results, and adjust our share-count assumptions to reflect the latest figures, which drives most of our EPS revisions. Our revenue and net income estimates remain largely unchanged.

**Exhibit 5:** Aspeed: Earnings estimate revisions

| | Current | Previous | | Current | Previous | | Current | Previous | |
|---|---|---|---|---|---|---|---|---|---|
| **NT$ mn** | **2026E** | **2026E** | **Diff.** | **2027E** | **2027E** | **Diff.** | **2028E** | **2028E** | **Diff.** |
| Net sales | 18,707 | 18,702 | 0% | 29,808 | 29,808 | 0% | 40,761 | 40,761 | 0% |
| COGS | 5,412 | 5,270 | | 8,517 | 8,517 | | 11,333 | 11,333 | |
| Gross profit | 13,296 | 13,431 | -1% | 21,291 | 21,291 | 0% | 29,428 | 29,428 | 0% |
| Operating expenses | 2,848 | 2,847 | | 3,816 | 3,816 | | 4,636 | 4,636 | |
| Operating profit | 10,448 | 10,584 | -1% | 17,475 | 17,475 | 0% | 24,792 | 24,792 | 0% |
| Non-op. income (exp.) | 353 | 370 | | 163 | 163 | | 163 | 163 | |
| Pretax Income | 10,801 | 10,954 | -1% | 17,639 | 17,639 | 0% | 24,955 | 24,955 | 0% |
| Taxes | 2,031 | 2,072 | | 3,299 | 3,299 | | 4,667 | 4,667 | |
| Net income | 8,770 | 8,882 | -1% | 14,340 | 14,340 | 0% | 20,288 | 20,288 | 0% |
| **Reported EPS** | **220.93** | **207.93** | **6%** | **344.84** | **313.49** | **10%** | **487.89** | **443.53** | **10%** |
| | | | | | | | | | |
| **Margins** | | | | | | | | | |
| Gross margin | 71.1% | 71.8% | -1 ppt | 71.4% | 71.4% | 0 ppt | 72.2% | 72.2% | 0 ppt |
| Operating margin | 55.9% | 56.6% | -1 ppt | 58.6% | 58.6% | 0 ppt | 60.8% | 60.8% | 0 ppt |
| Pretax margin | 57.7% | 58.6% | -1 ppt | 59.2% | 59.2% | 0 ppt | 61.2% | 61.2% | 0 ppt |
| Net margin | 46.9% | 47.5% | -1 ppt | 48.1% | 48.1% | 0 ppt | 49.8% | 49.8% | 0 ppt |

Source: Company data, Morgan Stanley Research (E) estimates

**Exhibit 6:** Aspeed: Quarterly financials

| *NT$ in million (YE DEC31)* | 1Q26 | 2Q26 | 3Q26p | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Total Revenues | 3,147 | 3,871 | 4,786 | 6,903 | 6,959 | 7,189 | 7,607 | 8,053 | 9,431 | 10,111 | 10,437 | 10,782 | 6,460 | 9,085 | 18,707 | 29,808 | 40,761 |
| *Sequential Change* | *28.8%* | *23.0%* | *23.6%* | *44.2%* | *0.8%* | *3.3%* | *5.8%* | *5.9%* | *17.1%* | *7.2%* | *3.2%* | *3.3%* | | | | | |
| *Change vs Year Ago* | *52.4%* | *72.3%* | *105.4%* | *182.5%* | *121.1%* | *85.7%* | *58.9%* | *16.7%* | *35.5%* | *40.6%* | *37.2%* | *33.9%* | *106.4%* | *40.6%* | *105.9%* | *59.3%* | *36.7%* |
| Cost of Sales | 970 | 1,084 | 1,461 | 1,897 | 1,983 | 2,051 | 2,177 | 2,306 | 2,633 | 2,815 | 2,899 | 2,986 | 2,306 | 2,906 | 5,412 | 8,517 | 11,333 |
| *Percent of Revenues* | *31%* | *28%* | *31%* | *27%* | *28%* | *29%* | *29%* | *29%* | *28%* | *28%* | *28%* | *28%* | *36%* | *32%* | *29%* | *29%* | *28%* |
| Gross Margin | 2,177 | 2,788 | 3,325 | 5,006 | 4,976 | 5,139 | 5,431 | 5,747 | 6,798 | 7,296 | 7,538 | 7,795 | 4,154 | 6,179 | 13,296 | 21,291 | 29,428 |
| *Percent of Revenues* | *69.2%* | *72.0%* | *69.5%* | *72.5%* | *71.5%* | *71.5%* | *71.4%* | *71.4%* | *72.1%* | *72.2%* | *72.2%* | *72.3%* | *64.3%* | *68.0%* | *71.1%* | *71.4%* | *72.2%* |
| *Incremental Margin* | *72%* | *84%* | *59%* | *79%* | *-55%* | *71%* | *70%* | *71%* | *76%* | *73%* | *74%* | *75%* | *64%* | *77%* | *74%* | *72%* | *74%* |
| Total Opex | 518 | 702 | 829 | 862 | 939 | 944 | 962 | 971 | 1,139 | 1,152 | 1,169 | 1,177 | 1,235 | 1,518 | 2,848 | 3,816 | 4,636 |
| *Percent of Revenues* | *16.5%* | *18.1%* | *17.3%* | *12.5%* | *13.5%* | *13.1%* | *12.6%* | *12.1%* | *12.1%* | *11.4%* | *11.2%* | *10.9%* | *19.1%* | *16.7%* | *15.2%* | *12.8%* | *11.4%* |
| R&D | 350 | 428 | 468 | 508 | 600 | 600 | 610 | 610 | 650 | 650 | 660 | 660 | 829 | 1,042 | 1,755 | 2,420 | 2,620 |
| *Percent of Revenues* | *11.1%* | *11.1%* | *9.8%* | *7.4%* | *8.6%* | *8.3%* | *8.0%* | *7.6%* | *6.9%* | *6.4%* | *6.3%* | *6.1%* | *12.8%* | *11.5%* | *9.4%* | *8.1%* | *6.4%* |
| General & administrative | 118 | 171 | 171 | 171 | 200 | 200 | 200 | 200 | 300 | 300 | 300 | 301 | 286 | 349 | 630 | 800 | 1,201 |
| *Percent of Revenues* | *3.8%* | *4.4%* | *3.6%* | *2.5%* | *2.9%* | *2.8%* | *2.6%* | *2.5%* | *3.2%* | *3.0%* | *2.9%* | *2.8%* | *4.4%* | *3.8%* | *3.4%* | *2.7%* | *2.9%* |
| Selling & marketing | 49 | 103 | 127 | 183 | 139 | 144 | 152 | 161 | 189 | 202 | 209 | 216 | 120 | 128 | 462 | 596 | 815 |
| *Percent of Revenues* | *1.6%* | *2.7%* | *2.7%* | *2.7%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *1.9%* | *1.4%* | *2.5%* | *2.0%* | *2.0%* |
| Operating Income | 1,659 | 2,086 | 2,496 | 4,144 | 4,036 | 4,195 | 4,469 | 4,775 | 5,660 | 6,144 | 6,370 | 6,619 | 2,918 | 4,660 | 10,448 | 17,475 | 24,792 |
| *Percent of Revenues* | *52.7%* | *53.9%* | *52.2%* | *60.0%* | *58.0%* | *58.3%* | *58.7%* | *59.3%* | *60.0%* | *60.8%* | *61.0%* | *61.4%* | *45.2%* | *51.3%* | *55.9%* | *58.6%* | *60.8%* |
| *Change vs Year Ago* | *61.5%* | *76.2%* | *102.7%* | *240.3%* | *143.3%* | *101.1%* | *79.0%* | *15.2%* | *40.2%* | *46.5%* | *42.5%* | *38.6%* | *170%* | *60%* | *124%* | *67%* | *42%* |
| Total Non-operating Income(Loss) | 109 | 180 | 23 | 41 | 41 | 41 | 41 | 41 | 41 | 41 | 41 | 41 | 249 | 195 | 353 | 163 | 163 |
| Profit Before Taxes | 1,768 | 2,265 | 2,520 | 4,185 | 4,077 | 4,236 | 4,509 | 4,816 | 5,700 | 6,185 | 6,410 | 6,660 | 3,167 | 4,855 | 10,801 | 17,639 | 24,955 |
| *Percent of Revenues* | *56%* | *59%* | *53%* | *61%* | *59%* | *59%* | *59%* | *60%* | *60%* | *61%* | *61%* | *62%* | *49%* | *53%* | *58%* | *59%* | *61%* |
| Taxes | 354 | 424 | 471 | 783 | 763 | 792 | 843 | 901 | 1,066 | 1,157 | 1,199 | 1,246 | 596 | 928 | 2,031 | 3,299 | 4,667 |
| *Tax Rate* | *20.0%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.7%* | *18.8%* | *19.1%* | *18.8%* | *18.7%* | *18.7%* |
| Net Income, Cont Ops | 1,414 | 1,842 | 2,010 | 3,402 | 3,315 | 3,443 | 3,666 | 3,916 | 4,634 | 5,028 | 5,211 | 5,414 | 2,571 | 3,928 | 8,770 | 14,340 | 20,288 |
| *Percent of Revenues* | *45%* | *48%* | *42%* | *49%* | *48%* | *48%* | *48%* | *49%* | *49%* | *50%* | *50%* | *50%* | *40%* | *43%* | *47%* | *48%* | *50%* |
| **Reported Income (TW GAAP)** | **1,414** | **1,842** | **2,010** | **3,402** | **3,315** | **3,443** | **3,666** | **3,916** | **4,634** | **5,028** | **5,211** | **5,414** | **2,571** | **3,928** | **8,770** | **14,340** | **20,288** |
| *Percent of Revenues* | *45%* | *48%* | *42%* | *49%* | *48%* | *48%* | *48%* | *49%* | *49%* | *50%* | *50%* | *50%* | *40%* | *43%* | *47%* | *48%* | *50%* |
| *Change vs Year Ago* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *155%* | *53%* | *123%* | *64%* | *41%* |
| **Reported EPS (NT$, TW GAAP)** | **37.41** | **48.72** | **48.33** | **81.82** | **79.71** | **82.81** | **88.16** | **94.16** | **111.44** | **120.92** | **125.33** | **130.20** | **68.05** | **103.94** | **220.93** | **344.84** | **487.89** |
| *Change vs Year Ago* | *60%* | *193%* | *50%* | *158%* | *113%* | *70%* | *82%* | *15%* | *40%* | *46%* | *42%* | *38%* | *155%* | *53%* | *113%* | *56%* | *41%* |

Source: Company data, Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research (E) estimates

# Aspeed: Valuation Methodology

**We cut our price target (base case scenario value) from NT$24,000 to NT$14,417:** This primarily reflects lower growth assumptions, alongside earnings revisions. We reduce our terminal growth rate from 5.5% to 3.0% to better align with macro growth outlook, and reduce our intermediate growth rate from 21.4% to 18.0% to reflect a potential slowdown in market demand. Other key assumptions are unchanged, including:

- Cash payout ratio of 85%
- Cost of equity of 9.8% (2% risk-free rate, 6% risk premium, 1.3 beta)

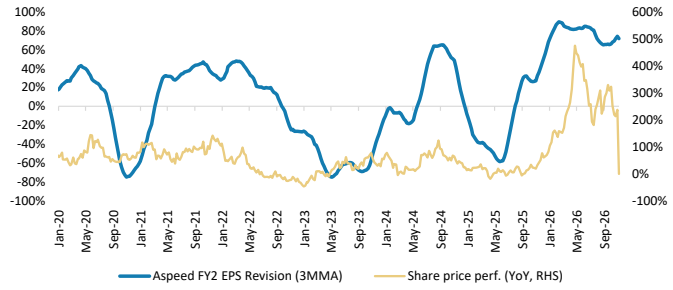
Our bull and bear case scenario values also decrease from NT$29,300 and NT$11,500, to NT$17,600 and NT$6,900, respectively, implying 51x/20x our 2027e EPS estimates.

**Exhibit 7:** Aspeed: Residual income model

| NT$million | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E | 2036E | 2037E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Equity** | **13,062** | **19,684** | **27,927** | **33,553** | **40,191** | **48,024** | **57,268** | **68,175** | **81,046** | **96,233** | **114,154** | **135,301** |
| **Net Profit** | **8,770** | **14,340** | **20,288** | **23,940** | **28,249** | **33,334** | **39,334** | **46,414** | **54,768** | **64,627** | **76,260** | **89,986** |
| **ROAE** | **85.0%** | **87.6%** | **85.2%** | **77.9%** | **76.6%** | **75.6%** | **74.7%** | **74.0%** | **73.4%** | **72.9%** | **72.5%** | **72.1%** |
| **Residual Income** | 5,696 | 10,163 | 14,851 | 19,019 | 22,426 | 26,444 | 31,185 | 36,779 | 43,379 | 51,166 | 60,355 | 71,197 |
| **Spread** | **75.2%** | **77.8%** | **75.4%** | **68.1%** | **66.8%** | **65.8%** | **64.9%** | **64.2%** | **63.6%** | **63.1%** | **62.7%** | **62.4%** |
| Ending Equity Capital | 13,062 | | | | | | | | | | | |
| PV of Forecast Period | 171,363 | | | | | | | | | | | |
| PV of Continuing Value | 387,827 | | | | | | | | | | | |
| **Equity Value** | **572,251** | | | | | | | | | | | |
| No. of Shares | 40 | | | | | | | | | | | |
| **Projected Price** | **14,417** | | | | | | | | | | | |

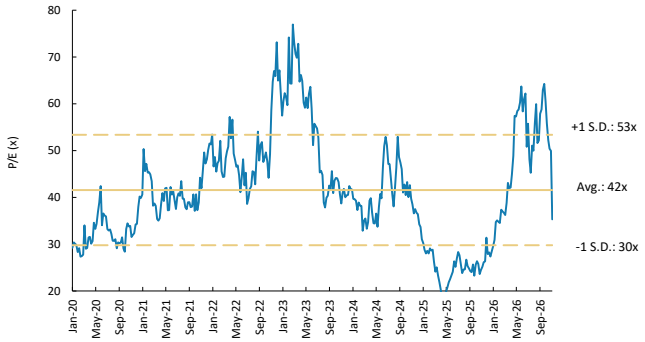
Source: Company data, Morgan Stanley Research (E) estimates

**Exhibit 8:** Aspeed: Estimate revision breadth




Source: Company data, Morgan Stanley Research estimates

**Exhibit 9:** Aspeed: Forward P/E ratio




Source: Company data, Morgan Stanley Research estimates

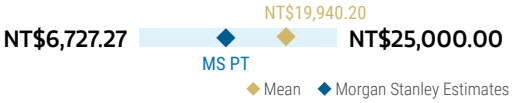
# Risk Reward – Aspeed Technology (5274.TWO)

Peak Growth, Less Upside; EW

## PRICE TARGET NT$14,417.00

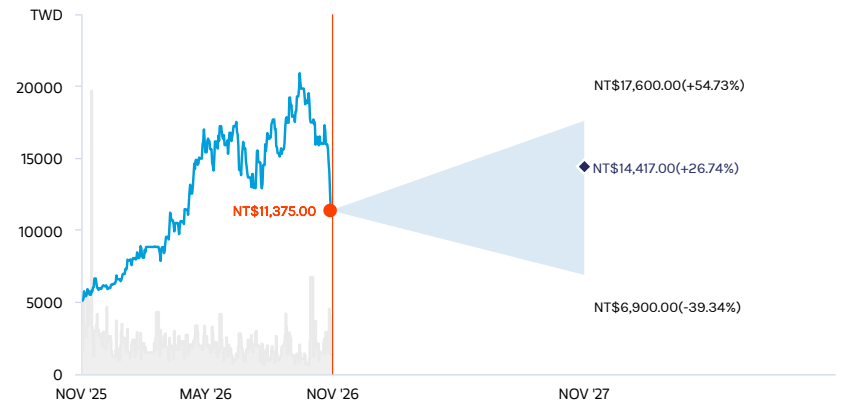
Base case, residual income model. Key assumptions:
- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 18.0%
- Terminal growth rate of 3.0%
- Cash payout ratio of 85%

**Consensus Price Target Distribution**




Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART



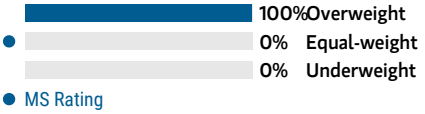

Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

## EQUAL-WEIGHT THESIS

- Cloud capex Y/Y growth could peak in 1Q27, and Asia supply-chain order visibility is weakening.
- Aspeed's shipments are currently capped by T-glass shortage, but the company is now qualifying E-glass, which we believe can help expand its shipments to over 2mn units per month.
- Aspeed maintains the lion's share in ASIC racks. Google TPU has long adopted MCU, while we see it utilizing Aspeed's BMC in its next-generation TPU. We expect this to contribute 13% of revenue in 2027.
- Our price target implies 42x our 2027e EPS, in line with the 42x average one-year forward P/E since 2020.

**Consensus Rating Distribution**




Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

**Secular Growth:** *Positive*

View descriptions of Risk Rewards Themes here

## BULL CASE NT$17,600.00

**51x 2027e EPS**

**Booming data center demand with significant share gains; meaningful OPM expansion; new businesses take off faster than expected:** Significant earnings growth from data center demand and market share gains in white brands and US server brands. Margins improve considerably. New business growth accelerates. We also assume AI servers fully ramp-up, and clients execute new server platform migration faster than expected.

## BASE CASE NT$14,417.00

**42x 2027e EPS**

**Cloud/traditional servers capex continues but Y/Y growth peaks in 1Q27; remains a beneficiary of ASICs; new business bears fruit:** 1) Revenue growth of 59% Y/Y in 2027 after strong growth in 2025/26; 2) gross margin stable at 71-72% in 2027/28; 3) TPU gets more demand from Aspeed's BMC and agentic AI drives more general server demand.

## BEAR CASE NT$6,900.00

**20x 2027e EPS**

**Disappointing end-demand, with share loss; operating margin pressure; new businesses face challenges:** Revenue growth decelerates on slow data center demand and share loss amid a weakening macro environment. OPM pressure emerges amid intense competition. New businesses stay flattish as end-markets take off more slowly.

# Risk Reward – Aspeed Technology (5274.TWO)

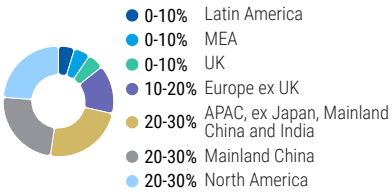
## KEY EARNINGS INPUTS

| Drivers | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---|---|---|---|---|
| BMC revenue (NT$, mn) | 8,024 | 17,701 | 28,172 | 37,968 |
| 360 degree SoC revenue (NT$, mn) | 62 | 67 | 95 | 154 |
| PC/AV extension IC revenue (NT$, mn) | 105 | 44 | 47 | 52 |

## INVESTMENT DRIVERS

- Expanding share in baseboard management controller (BMC) market
- Cloud spending acceleration from customers
- Margin expansion
- New business progress

## GLOBAL REVENUE EXPOSURE




Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

## RISKS TO PT/RATING

**RISKS TO UPSIDE**

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

**RISKS TO DOWNSIDE**

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 70.6%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*

| | | | |
|---|---|---|---|
| **Sales / Revenue** (NT$, mn) | 16,788 | 18,707 / 18,349 | 18,850 |
| **EBITDA** (NT$, mn) | 9,608 | 10,448 / 10,329 | 10,768 |
| **Net income** (NT$, mn) | 7,757 | 8,770 / 8,314 | 8,882 |
| **EPS** (NT$) | 186.54 | 201.40 | 220.93 |

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

# Aspeed: Financial Summary

**Exhibit 10:** Financial summary

**Income Statement**

| NT$mn (Years End Dec ) | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net sales | 6,460 | 9,085 | 18,707 | 29,808 | 40,761 |
| COGS | (2,306) | (2,906) | (5,412) | (8,517) | (11,333) |
| Gross profit | 4,154 | 6,179 | 13,296 | 21,291 | 29,428 |
| Operating expenses | (1,235) | (1,518) | (2,848) | (3,816) | (4,636) |
| **Operating income** | **2,918** | **4,660** | **10,448** | **17,475** | **24,792** |
| Non-operating income | 249 | 195 | 353 | 163 | 163 |
| Pre-tax income | 3,167 | 4,855 | 10,801 | 17,639 | 24,955 |
| Income tax | 596 | 928 | 2,031 | 3,299 | 4,667 |
| **Reported net Income** | **2,571** | **3,928** | **8,770** | **14,340** | **20,288** |
| Adj.wtd.avg.shrs( m) | 38 | 38 | 40 | 42 | 42 |
| **Reported EPS (NT$)** | **68.05** | **103.94** | **220.93** | **344.84** | **487.89** |

**Balance Sheet**

| NT$mn (Years End Dec ) | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Cash | 3,659 | 5,788 | 9,762 | 14,712 | 21,286 |
| Mkt Securities | 352 | 510 | 510 | 510 | 510 |
| AR/NR | 1,437 | 1,606 | 3,133 | 4,993 | 6,827 |
| Inventory | 357 | 280 | 593 | 933 | 1,242 |
| Other | 181 | 224 | 224 | 224 | 224 |
| **Current Assets** | **5,987** | **8,408** | **14,223** | **21,372** | **30,089** |
| Long-term investments | 0 | 0 | 0 | 0 | 0 |
| Fixed assets | 355 | 409 | 439 | 469 | 499 |
| Deferred assets | 69 | 59 | 59 | 59 | 59 |
| Other assets | 1,316 | 1,457 | 1,457 | 1,457 | 1,457 |
| **Total Assets** | **7,726** | **10,334** | **16,178** | **23,357** | **32,105** |
| S/T borrowings | 0 | 0 | 0 | 0 | 0 |
| AP/NP | 426 | 616 | 970 | 1,526 | 2,031 |
| Other ST liabilities | 1,457 | 1,828 | 1,828 | 1,828 | 1,828 |
| LT debt | 0 | 0 | 0 | 0 | 0 |
| Other LT liabilities | 204 | 319 | 319 | 319 | 319 |
| Common shares | 378 | 378 | 378 | 378 | 378 |
| **Total Liabilities** | **2,087** | **2,763** | **3,117** | **3,673** | **4,178** |
| Additional capital | 2,440 | 2,665 | 2,665 | 2,665 | 2,665 |
| Retained earning | 2,851 | 4,529 | 10,020 | 16,643 | 24,885 |
| Other shareholders' equity | (31) | (2) | (2) | (2) | (2) |
| **Total Equity** | **5,639** | **7,571** | **13,062** | **19,684** | **27,927** |
| **Total Liab. & Shrhldr's Equity** | **7,726** | **10,334** | **16,178** | **23,357** | **32,105** |

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

**Cash Flow Statement**

| NT$mn (Years End Dec ) | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Cashflow from Operations** | **3,145** | **4,496** | **7,283** | **12,697** | **18,650** |
| Net profits | 2,571 | 3,928 | 8,770 | 14,340 | 20,288 |
| Depreciation | 121 | 167 | 0 | 0 | 0 |
| Working Capital Change | (66) | 453 | (1,487) | (1,643) | (1,638) |
| Other adjustments | 519 | (52) | 0 | 0 | 0 |
| **Cashflow from Investing** | **(345)** | **(395)** | **(30)** | **(30)** | **(30)** |
| Capex | (25) | (274) | (30) | (30) | (30) |
| Change of LT Investment | 0 | 0 | 0 | 0 | 0 |
| Change of ST Investment | 43 | (128) | 0 | 0 | 0 |
| Other adjustments | (363) | 8 | 0 | 0 | 0 |
| **Cashflow from financing** | **(781)** | **(1,991)** | **(3,279)** | **(7,717)** | **(12,045)** |
| Increase in L/T debt | 0 | 0 | 0 | 0 | 0 |
| Increase in S/T debt | 0 | 0 | 0 | 0 | 0 |
| Cash Dividend Paid | (756) | (1,967) | (3,279) | (7,717) | (12,045) |
| Dir& Emp Bonus Paid | 0 | 0 | 0 | 0 | 0 |
| Issuance of stock | 0 | 0 | 0 | 0 | 0 |
| Other adjustments | (25) | (25) | 0 | 0 | 0 |
| Exchange rate adjustment | 30 | 19 | 0 | 0 | 0 |
| **Net change in cash** | **2,048** | **2,129** | **3,974** | **4,949** | **6,574** |

**Financial Ratios**

| | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Growth(%)** | | | | | |
| Turnover | 106.4 | 40.6 | 105.9 | 59.3 | 36.7 |
| Operating profits | 170.3 | 59.7 | 124.2 | 67.3 | 41.9 |
| EPS | 155.2 | 52.7 | 112.6 | 56.1 | 41.5 |
| **Margins (%)** | | | | | |
| Gross Margin | 64.3 | 68.0 | 71.1 | 71.4 | 72.2 |
| Operating Margin | 45.2 | 51.3 | 55.9 | 58.6 | 60.8 |
| Pretax Margin | 49.0 | 53.4 | 57.7 | 59.2 | 61.2 |
| Net Margin | 39.8 | 43.2 | 46.9 | 48.1 | 49.8 |
| **Return (%)** | | | | | |
| ROAE | 54.3 | 59.5 | 85.0 | 87.6 | 85.2 |
| ROAA | 41.9 | 43.5 | 66.2 | 72.5 | 73.2 |
| **Gearing (%)** | | | | | |
| Net Debt/Equity | (64.9) | (76.5) | (74.7) | (74.7) | (76.2) |
| Liabilities/Equity | 37.0 | 36.5 | 23.9 | 18.7 | 15.0 |
| **Ratios (X)** | | | | | |
| Current ratio | 3.2 | 3.4 | 5.1 | 6.4 | 7.8 |
| Quick ratio | 2.7 | 3.0 | 4.6 | 5.9 | 7.3 |
| **Others** | | | | | |
| AR/NR Turnover (days) | 61 | 61 | 61 | 61 | 61 |
| Inventory Turnover (days) | 52 | 40 | 40 | 40 | 40 |
| AP Turnover (days) | 53 | 65 | 65 | 65 | 65 |
| Cash Conversion (days) | 60 | 36 | 36 | 36 | 36 |

Source: Morgan Stanley Research estimates, Company Data

# Montage: Estimate Revision Summary

**We cut our EPS forecasts by 2%/26%/24% for 2026/27/28.** We decrease our 2026/27/28 shipment forecasts for memory interface chips, MRCD/MDB chips and PCIe/CXL chips to reflect lower than previously expected cloud capex demand.

**Exhibit 11:** Montage: Estimate Revisions

| Rmb mn | Current 2026E | Previous 2026E | Diff. | Current 2027E | Previous 2027E | Diff. | Current 2028E | Previous 2028E | Diff. |
|---|---|---|---|---|---|---|---|---|---|
| Net sales | 7,684 | 7,828 | -2% | 11,448 | 14,676 | -22% | 16,041 | 20,218 | -21% |
| COGS | 2,532 | 2,568 | | 3,405 | 4,231 | | 4,593 | 5,652 | |
| Gross profit | 5,152 | 5,260 | -2% | 8,043 | 10,445 | -23% | 11,448 | 14,566 | -21% |
| Operating expenses | 1,617 | 1,617 | | 1,942 | 2,108 | | 2,486 | 2,672 | |
| Operating profit | 3,535 | 3,643 | -3% | 6,101 | 8,337 | -27% | 8,962 | 11,894 | -25% |
| Non-op. income (exp.) | 1,074 | 1,074 | | 200 | 200 | | 200 | 200 | |
| Pretax Income | 4,609 | 4,717 | -2% | 6,301 | 8,537 | -26% | 9,162 | 12,094 | -24% |
| Taxes | 294 | 301 | | 407 | 551 | | 592 | 781 | |
| Net income | 4,414 | 4,515 | -2% | 5,979 | 8,071 | -26% | 8,655 | 11,398 | -24% |
| **Reported EPS** | **3.66** | **3.75** | **-2%** | **4.91** | **6.63** | **-26%** | **7.11** | **9.36** | **-24%** |
| | | | | | | | | | |
| **Margins** | | | | | | | | | |
| Gross margin | 67.0% | 67.2% | 0 ppt | 70.3% | 71.2% | -1 ppt | 71.4% | 72.0% | -1 ppt |
| Operating margin | 46.0% | 46.5% | -1 ppt | 53.3% | 56.8% | -4 ppt | 55.9% | 58.8% | -3 ppt |
| Pretax margin | 60.0% | 60.3% | 0 ppt | 55.0% | 58.2% | -3 ppt | 57.1% | 59.8% | -3 ppt |
| Net margin | 57.4% | 57.7% | 0 ppt | 52.2% | 55.0% | -3 ppt | 54.0% | 56.4% | -2 ppt |

Source: Morgan Stanley Research (E) estimates

**Exhibit 12:** Montage Quarterly Financials

| *Rmb in million (YE Dec31)* | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26 | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Total Revenues | 1,222 | 1,411 | 1,424 | 1,399 | 1,461 | 1,875 | 2,079 | 2,269 | 2,464 | 2,654 | 2,828 | 3,502 | 3,652 | 3,897 | 4,149 | 4,342 | 3,639 | 5,456 | 7,684 | 11,448 | 16,041 |
| *Sequential Change* | *14.4%* | *15.5%* | *0.9%* | *-1.8%* | *4.4%* | *28.3%* | *10.9%* | *9.2%* | *8.6%* | *7.7%* | *6.6%* | *23.8%* | *4.3%* | *6.7%* | *6.5%* | *4.7%* | | | | | |
| *Change vs Year Ago* | *65.8%* | *52.1%* | *57.2%* | *31.0%* | *19.5%* | *32.8%* | *46.0%* | *62.3%* | *68.7%* | *41.5%* | *36.0%* | *54.3%* | *48.2%* | *46.8%* | *46.7%* | *24.0%* | *59.2%* | *49.9%* | *40.8%* | *49.0%* | *40.1%* |
| Cost of Sales | 483 | 558 | 522 | 497 | 441 | 716 | 674 | 700 | 751 | 797 | 843 | 1,013 | 1,054 | 1,119 | 1,185 | 1,235 | 1,524 | 2,061 | 2,532 | 3,405 | 4,593 |
| *Percent of Revenues* | *40%* | *40%* | *37%* | *36%* | *30%* | *38%* | *32%* | *31%* | *30%* | *30%* | *30%* | *29%* | *29%* | *29%* | *29%* | *28%* | *42%* | *38%* | *33%* | *30%* | *29%* |
| Gross Profit | 739 | 853 | 902 | 902 | 1,019 | 1,159 | 1,404 | 1,569 | 1,713 | 1,856 | 1,985 | 2,489 | 2,598 | 2,778 | 2,964 | 3,107 | 2,115 | 3,395 | 5,152 | 8,043 | 11,448 |
| *Percent of Revenues* | *60.4%* | *60.4%* | *63.3%* | *64.5%* | *69.8%* | *61.8%* | *67.6%* | *69.1%* | *69.5%* | *70.0%* | *70.2%* | *71.1%* | *71.1%* | *71.3%* | *71.4%* | *71.6%* | *58.1%* | *62.2%* | *67.0%* | *70.3%* | *71.4%* |
| *Incremental Margin* | *76%* | *60%* | *380%* | *NM* | *190%* | *34%* | *120%* | *86%* | *74%* | *76%* | *74%* | *75%* | *73%* | *74%* | *74%* | *74%* | *57%* | *70%* | *79%* | *77%* | *74%* |
| Total Opex | 279 | 351 | 576 | 126 | 345 | 456 | 410 | 407 | 434 | 459 | 491 | 558 | 577 | 602 | 637 | 669 | 1,056 | 1,333 | 1,617 | 1,942 | 2,486 |
| *Percent of Revenues* | *22.8%* | *24.9%* | *40.5%* | *9.0%* | *23.6%* | *24.3%* | *19.7%* | *17.9%* | *17.6%* | *17.3%* | *17.3%* | *15.9%* | *15.8%* | *15.4%* | *15.4%* | *15.4%* | *29.0%* | *24.4%* | *21.0%* | *17.0%* | *15.5%* |
| R&D | 153 | 204 | 176 | 153 | 188 | 265 | 186 | 198 | 216 | 234 | 252 | 270 | 288 | 306 | 324 | 342 | 763 | 686 | 837 | 972 | 1,260 |
| *Percent of Revenues* | *12.5%* | *14.5%* | *12.4%* | *10.9%* | *12.9%* | *14.1%* | *9.0%* | *8.7%* | *8.8%* | *8.8%* | *8.9%* | *7.7%* | *7.9%* | *7.9%* | *7.8%* | *7.9%* | *21.0%* | *12.6%* | *10.9%* | *8.5%* | *7.9%* |
| General & administrative | 102 | 120 | 370 | (65) | 127 | 161 | 194 | 178 | 186 | 192 | 205 | 254 | 254 | 259 | 276 | 288 | 196 | 526 | 660 | 837 | 1,077 |
| *Percent of Revenues* | *8.3%* | *8.5%* | *26.0%* | *-4.7%* | *8.7%* | *8.6%* | *9.3%* | *7.8%* | *7.5%* | *7.2%* | *7.2%* | *7.2%* | *6.9%* | *6.6%* | *6.6%* | *6.6%* | *5.4%* | *9.6%* | *8.6%* | *7.3%* | *6.7%* |
| Selling & marketing | 24 | 27 | 31 | 38 | 29 | 30 | 30 | 31 | 32 | 33 | 34 | 35 | 36 | 37 | 38 | 39 | 96 | 120 | 119 | 133 | 149 |
| *Percent of Revenues* | *2.0%* | *1.9%* | *2.1%* | *2.7%* | *2.0%* | *1.6%* | *1.4%* | *1.4%* | *1.3%* | *1.2%* | *1.2%* | *1.0%* | *1.0%* | *0.9%* | *0.9%* | *0.9%* | *2.6%* | *2.2%* | *1.6%* | *1.2%* | *0.9%* |
| Operating Income | 460 | 502 | 326 | 775 | 675 | 704 | 995 | 1,162 | 1,279 | 1,397 | 1,495 | 1,930 | 2,021 | 2,176 | 2,327 | 2,438 | 1,060 | 2,063 | 3,535 | 6,101 | 8,962 |
| *Percent of Revenues* | *37.6%* | *35.6%* | *22.9%* | *55.4%* | *46.2%* | *37.5%* | *47.8%* | *51.2%* | *51.9%* | *52.7%* | *52.8%* | *55.1%* | *55.3%* | *55.9%* | *56.1%* | *56.1%* | *29.1%* | *37.8%* | *46.0%* | *53.3%* | *55.9%* |
| *Change vs Year Ago* | *144.6%* | *76.6%* | *17.0%* | *151.0%* | *46.8%* | *40.2%* | *205.4%* | *49.9%* | *89.5%* | *98.6%* | *50.3%* | *66.1%* | *58.0%* | *55.8%* | *55.7%* | *26.3%* | *164%* | *95%* | *71%* | *73%* | *47%* |
| Total Non-operating Income(Loss) | 71 | 154 | 181 | (148) | 202 | 490 | 308 | 73 | 50 | 50 | 50 | 50 | 50 | 50 | 50 | 50 | 353 | 258 | 1,074 | 200 | 200 |
| Profit Before Taxes | 531 | 655 | 507 | 628 | 877 | 1,194 | 1,303 | 1,235 | 1,329 | 1,447 | 1,545 | 1,980 | 2,071 | 2,226 | 2,377 | 2,488 | 1,413 | 2,321 | 4,609 | 6,301 | 9,162 |
| *Percent of Revenues* | *43%* | *46%* | *36%* | *45%* | *60%* | *64%* | *63%* | *54%* | *54%* | *55%* | *55%* | *57%* | *57%* | *57%* | *57%* | *57%* | *39%* | *43%* | *60%* | *55%* | *57%* |
| Taxes | 27 | 47 | 43 | 74 | 47 | 82 | 84 | 80 | 86 | 93 | 100 | 128 | 134 | 144 | 154 | 161 | 72 | 191 | 294 | 407 | 592 |
| *Tax Rate* | *5.1%* | *7.1%* | *7.1%* | *7.1%* | *7.1%* | *7.1%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *6.5%* | *5.1%* | *8.2%* | *6.4%* | *6.5%* | *6.5%* |
| Net Income, Cont Ops | 504 | 609 | 464 | 553 | 830 | 1,111 | 1,218 | 1,156 | 1,243 | 1,354 | 1,445 | 1,852 | 1,937 | 2,083 | 2,223 | 2,327 | 1,341 | 2,130 | 4,315 | 5,894 | 8,570 |
| *Percent of Revenues* | *41%* | *43%* | *33%* | *40%* | *57%* | *59%* | *59%* | *51%* | *50%* | *51%* | *51%* | *53%* | *53%* | *53%* | *54%* | *54%* | *37%* | *39%* | *56%* | *51%* | *53%* |
| **Reported Income** | **525** | **634** | **473** | **603** | **847** | **1,150** | **1,240** | **1,177** | **1,265** | **1,375** | **1,466** | **1,873** | **1,958** | **2,104** | **2,245** | **2,349** | **1,412** | **2,236** | **4,414** | **5,979** | **8,655** |
| *Percent of Revenues* | *43%* | *45%* | *33%* | *43%* | *58%* | *61%* | *60%* | *52%* | *51%* | *52%* | *52%* | *54%* | *54%* | *54%* | *54%* | *54%* | *39%* | *41%* | *57%* | *52%* | *54%* |
| *Change vs Year Ago* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *0%* | *213%* | *58%* | *97%* | *35%* | *45%* |
| **Reported EPS** | **0.46** | **0.56** | **0.41** | **0.52** | **0.73** | **0.94** | **1.01** | **0.97** | **1.04** | **1.13** | **1.20** | **1.54** | **1.61** | **1.73** | **1.84** | **1.93** | **1.24** | **1.96** | **3.66** | **4.91** | **7.11** |
| *Change vs Year Ago* | *135%* | *71%* | *21%* | *37%* | *59%* | *69%* | *143%* | *84%* | *42%* | *20%* | *19%* | *59%* | *55%* | *53%* | *53%* | *25%* | *214%* | *57%* | *87%* | *34%* | *45%* |

Source: Company data, Morgan Stanley Research (E) estimates

# Montage: Valuation Methodology

**We cut our A-share price target to Rmb180 from Rmb377:** The change reflects our lower earnings estimates. Our price target is our base case value, derived from a residual income (RI) model, which we believe best captures the company's sustainable long-term growth. We also cut our intermediate growth rate estimate from 19.3% to 13.6% to reflect weaker downstream demand estimates. Other RI model assumptions are unchanged, including a 8.4% cost of equity (beta 1.2, risk-free rate 3.0%, and risk premium 4.5%), a payout ratio of 30%, and a terminal growth rate of 4.0%. We apply an updated exchange rate of HK$1.15 : Rmb1, assuming no H-share premium or discount to the A-share, to derive **our H-share price target, which we lower to HK$207 from HK$432.**

For the A-share, we cut our bull case value to Rmb218 from Rmb472, and our bear case value to Rmb83 from Rmb171. For the H-share, we cut our bull case value to HK$259 from HK$540, and our bear case value to HK$94 from HK$196. These revisions are in line with our base case value changes.

**Exhibit 13:** Montage RI Valuation

| Rmb mn | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E | 2036E | 2037E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Equity** | **23,585** | **29,564** | **38,220** | **45,397** | **53,551** | **62,814** | **73,336** | **85,289** | **98,868** | **114,294** | **131,818** | **151,725** |
| **Net Profit** | **4,414** | **5,979** | **8,655** | **9,832** | **11,170** | **12,689** | **14,414** | **16,375** | **18,601** | **21,131** | **24,005** | **27,270** |
| **ROAE** | **24.2%** | **22.5%** | **25.5%** | **23.5%** | **22.6%** | **21.8%** | **21.2%** | **20.6%** | **20.2%** | **19.8%** | **19.5%** | **19.2%** |
| **Residual Income** | 2,036 | 3,325 | 5,067 | 5,778 | 6,436 | 7,180 | 8,024 | 8,980 | 10,066 | 11,297 | 12,695 | 14,283 |
| **Spread** | **15.8%** | **14.1%** | **17.1%** | **15.1%** | **14.2%** | **13.4%** | **12.8%** | **12.2%** | **11.8%** | **11.4%** | **11.1%** | **10.8%** |
| Ending Equity Capital | 23,585 | | | | | | | | | | | |
| PV of Forecast Period | 42,848 | | | | | | | | | | | |
| PV of Continuing Value | 150,693 | | | | | | | | | | | |
| **Equity Value (Rmb mn)** | **217,126** | | | | | | | | | | | |
| **Equity Value (HK$ mn)** | **249,057** | | | | | | | | | | | |
| No. of Shares | 1,206 | | | | | | | | | | | |
| **Projected Price (Rmb)** | **180** | | | | | | | | | | | |
| **Projected Price (HK$)** | **207** | | | | | | | | | | | |

Source: Company data, Morgan Stanley Research (E) estimates

# Risk Reward – Montage Technology Co Ltd (6809.HK)

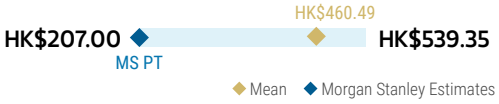
Structural content growth remains supportive, but facing potential slowdown; EW

## PRICE TARGET HK$207.00

Base case, residual income model. Key assumptions:
- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 13.6% medium-term growth rate
- 4% terminal growth rate

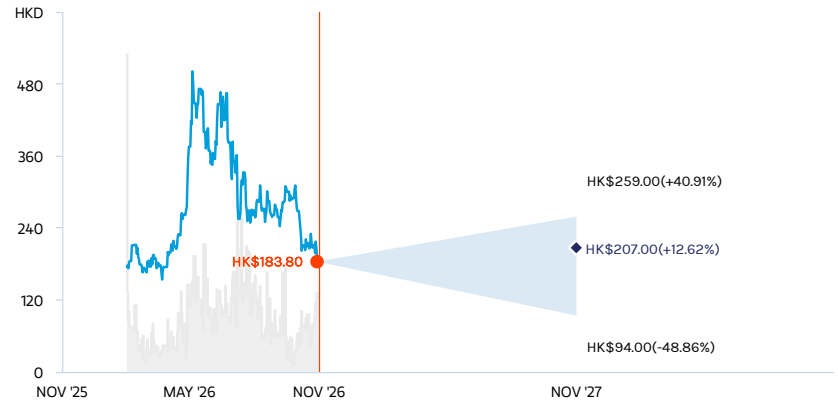
These assumptions reflect cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization. We then apply an exchange rate of HK$1.15 HKD:Rmb1, assuming no H-share discount to the A-share.

**Consensus Price Target Distribution**




Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART



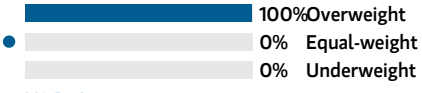

Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

## EQUAL-WEIGHT THESIS

- Montage is China's only pure datacenter player, with the majority of its revenue generated from interconnect chips, mainly memory interconnect chips for server DRAM.
- Core DRAM interconnect business is levered to the global cloud capex/memory super cycle.
- New AI business including MRCD/MDB, PCIe retimers, and PCIe switch is benefiting from AI server demand.
- China semi localization is driving market share gains, especially for PCIe products.
- However, we note a potential slower China procurement and derating risk.
- Our PT implies 37x 2027e P/E, vs the A-share historical average of 70x since 2020.

**Consensus Rating Distribution**




Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

**Secular Growth:** *Positive*

View descriptions of Risk Rewards Themes here

## BULL CASE HK$259.00

**44x 2027e EPS**

**We assume 60%+ revenue CAGR in 2025-28e:** Memory interface should benefit from continued cloud cycle and spec upgrade, achieving 35%+ revenue CAGR in 2025-28e. MRCD/MDB should receive orders from more major customers. PCIe retimer / PCIe switch should see large-scale adoption by overseas customers, and CXL MXC adoption exceeds expectations.

## BASE CASE HK$207.00

**37x 2027e EPS**

**We expect 43% revenue CAGR in 2025-28e:** Memory interface should benefit from continued cloud cycle and spec upgrade, driving 23% revenue CAGR in 2025-28e. MRCD/MDB revenue should reach ~Rmb1.4bn by 2028e. PCIe retimer/ PCIe switch / CXL MXC should generate Rmb3.2bn/2.2bn/2.5bn by 2028e, respectively.

## BEAR CASE HK$94.00

**17x 2027e EPS**

**We assume <20% revenue CAGR in 2025-28e:** Memory interface could be impacted by a cloud cycle downturn or slower spec upgrades. Revenue contribution from MRCD/MDB, PCIe retimer, CXL MXC could be limited. PCIe switch product launch is delayed.

# Risk Reward – Montage Technology Co Ltd (6809.HK)

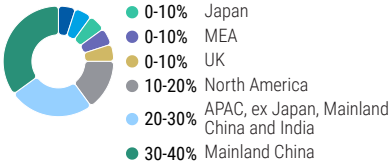
## KEY EARNINGS INPUTS

| Drivers | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---|---|---|---|---|
| Register clock driver shipment (Rmb, mn) | 148 | 172 | 190 | 183 |
| Data buffer shipment (Rmb, mn) | 48 | 56 | 62 | 59 |

## INVESTMENT DRIVERS

- Cloud capex strength
- DRAM technology migration
- China datacenter semi localization

## GLOBAL REVENUE EXPOSURE




Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

## MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

## RISKS TO PT/RATING

**RISKS TO UPSIDE**

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

**RISKS TO DOWNSIDE**

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

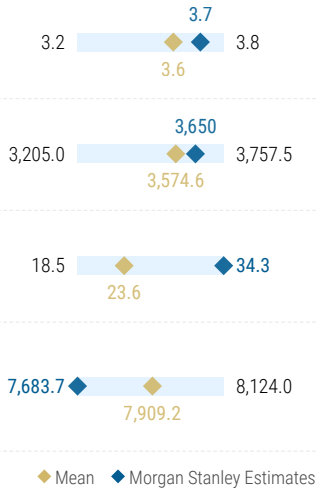
## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 97.7%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*




Source: Refinitiv, Morgan Stanley Research

# Risk Reward – Montage Technology Co Ltd (688008.SS)

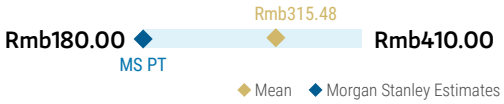
Structural content growth remains supportive, but facing potential slowdown; EW

## PRICE TARGET Rmb180.00

Base case, residual income model. Key assumptions:
- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 13.6% medium-term growth rate
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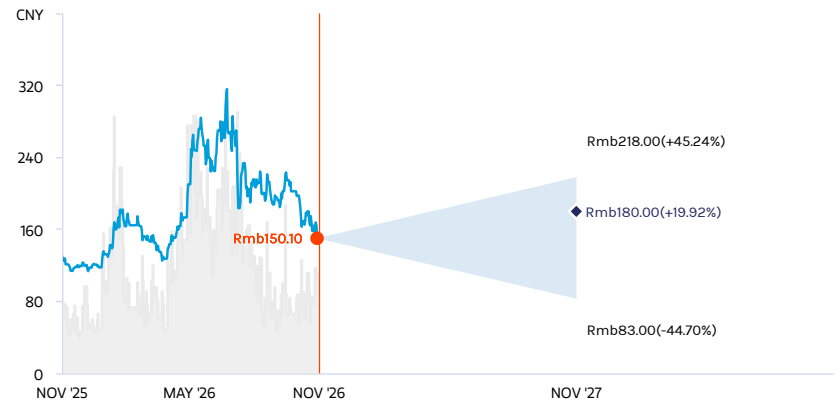
We believe these assumptions are justified, given the cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization.

**Consensus Price Target Distribution**




Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART



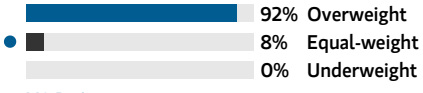

Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

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**Consensus Rating Distribution**




Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

**Secular Growth:** *Positive*

View descriptions of Risk Rewards Themes here

## BULL CASE Rmb218.00

**44x 2027e EPS**

**We assume 60%+ revenue CAGR in 2025-28e:** Memory interface should benefit from continued cloud cycle and spec upgrade, achieving 35%+ revenue CAGR in 2025-28e. MRCD/MDB should receive orders from more major customers. PCIe retimer / PCIe switch should see large-scale adoption by overseas customers, and CXL MXC adoption exceeds expectations.

## BASE CASE Rmb180.00

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## BEAR CASE Rmb83.00

**17x 2027e EPS**

**We assume <20% revenue CAGR in 2025-28e:** Memory interface could be impacted by a cloud cycle downturn or slower spec upgrades. Revenue contribution from MRCD/MDB, PCIe retimer, CXL MXC could be limited. PCIe switch product launch is delayed.

# Risk Reward – Montage Technology Co Ltd (688008.SS)

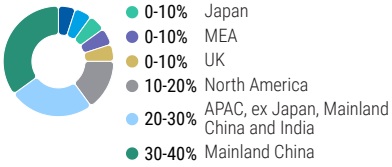
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- DRAM technology migration
- China datacenter semi localization

## GLOBAL REVENUE EXPOSURE




Source: Morgan Stanley Research Estimate
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## MS ALPHA MODELS

4/5 MOST — 3 Month Horizon

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## RISKS TO PT/RATING

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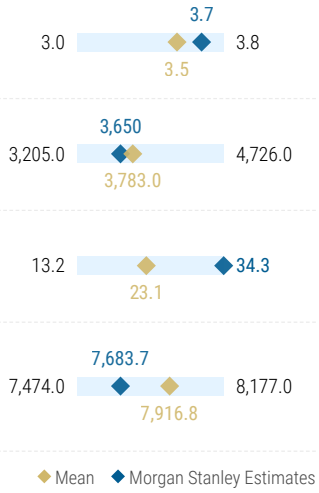
## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 92.5%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*




Source: Refinitiv, Morgan Stanley Research

**Exhibit 14:** Montage: Financial Summary

### Income Statement

| Rmb mn (Years End Dec) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| Net sales | 5,456 | 7,684 | 11,448 | 16,041 |
| COGS | (2,061) | (2,532) | (3,405) | (4,593) |
| Gross profit | 3,395 | 5,152 | 8,043 | 11,448 |
| Operating expenses | (1,333) | (1,617) | (1,942) | (2,486) |
| **Operating income** | **2,063** | **3,535** | **6,101** | **8,962** |
| Non-operating income | 258 | 1,074 | 200 | 200 |
| Pre-tax income | 2,321 | 4,609 | 6,301 | 9,162 |
| Income tax | 191 | 294 | 407 | 592 |
| **Net Income** | **2,130** | **4,315** | **5,894** | **8,570** |
| Minority Interest | (106) | (99) | (85) | (85) |
| **Reported net Income** | **2,236** | **4,414** | **5,979** | **8,655** |
| Adj.wtd.avg.shrs( m) | 1,137 | 1,197 | 1,209 | 1,209 |
| **Reported EPS (Rmb)** | **1.96** | **3.66** | **4.91** | **7.11** |

### Balance Sheet

| Rmb mn (Years End Dec) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| Cash | 5,852 | 16,672 | 22,137 | 30,150 |
| Mkt Securities | 1,512 | 1,512 | 1,512 | 1,512 |
| AR/NR | 568 | 720 | 1,073 | 1,503 |
| Inventory | 896 | 693 | 932 | 1,258 |
| Other | 2,206 | 2,206 | 2,206 | 2,206 |
| **Current Assets** | **11,034** | **21,804** | **27,861** | **36,630** |
| Long-term investments | 92 | 92 | 92 | 92 |
| Fixed assets | 716 | 736 | 756 | 776 |
| Deferred assets | 43 | 43 | 43 | 43 |
| Other assets | 1,863 | 1,863 | 1,863 | 1,863 |
| **Total Assets** | **13,748** | **24,538** | **30,616** | **39,404** |
| S/T borrowings | 0 | 0 | 0 | 0 |
| AP/NP | 208 | 284 | 382 | 516 |
| Other ST liabilities | 561 | 561 | 561 | 561 |
| LT debt | 0 | 0 | 0 | 0 |
| Other LT liabilities | 107 | 107 | 107 | 107 |
| Common shares | 1,146 | 1,146 | 1,146 | 1,146 |
| **Total Liabilities** | **877** | **953** | **1,051** | **1,185** |
| Additional capital | 6,114 | 12,414 | 12,414 | 12,414 |
| Retained earning | 6,019 | 10,433 | 16,412 | 25,067 |
| Other shareholders' equity | (408) | (408) | (408) | (408) |
| **Total Equity** | **12,871** | **23,585** | **29,564** | **38,220** |
| **Total Liab. & Shrhldr's Equity** | **13,748** | **24,538** | **30,616** | **39,404** |

### Cash Flow Statement

| Rmb mn (Years End Dec) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| **Cashflow from Operations** | **2,022** | **4,655** | **5,610** | **8,167** |
| Net profits | 2,236 | 4,414 | 5,979 | 8,655 |
| Depreciation | 82 | 87 | 92 | 97 |
| Working Capital Change | (1,519) | 126 | (494) | (622) |
| Other adjustments | 1,224 | 28 | 33 | 38 |
| **Cashflow from Investing** | **850** | **(135)** | **(145)** | **(155)** |
| Capex | (266) | (135) | (145) | (155) |
| Change of LT Investment | 17 | 0 | 0 | 0 |
| Change of ST Investment | (164) | 0 | 0 | 0 |
| Other adjustments | 1,263 | 0 | 0 | 0 |
| **Cashflow from financing** | **(1,029)** | **6,300** | **0** | **0** |
| Increase in L/T debt | 0 | 0 | 0 | 0 |
| Increase in S/T debt | 0 | 0 | 0 | 0 |
| Cash Dividend Paid | (670) | 0 | 0 | 0 |
| Equity Financing | 39 | 6,300 | 0 | 0 |
| Other adjustments | (398) | 0 | 0 | 0 |
| Exchange rate adjustment | (126) | 0 | 0 | 0 |
| **Net change in cash** | **1,717** | **10,820** | **5,465** | **8,013** |

### Financial Ratios

| | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| **Growth(%)** | | | | |
| Turnover | 49.9 | 40.8 | 49.0 | 40.1 |
| Operating profits | 94.7 | 71.4 | 72.6 | 46.9 |
| EPS | 57.1 | 87.3 | 34.1 | 44.8 |
| **Margins (%)** | | | | |
| Gross Margin | 62.2 | 67.0 | 70.3 | 71.4 |
| Operating Margin | 37.8 | 46.0 | 53.3 | 55.9 |
| Pretax Margin | 42.5 | 60.0 | 55.0 | 57.1 |
| Net Margin | 41.0 | 57.4 | 52.2 | 54.0 |
| **Return (%)** | | | | |
| ROAE | 18.4 | 24.2 | 22.5 | 25.5 |
| ROAA | 17.2 | 23.1 | 21.7 | 24.7 |
| **Gearing (%)** | | | | |
| Net Debt/Equity | (45.5) | (70.7) | (74.9) | (78.9) |
| Liabilities/Equity | 6.8 | 4.0 | 3.6 | 3.1 |
| **Ratios (X)** | | | | |
| Current ratio | 14.3 | 25.8 | 29.5 | 34.0 |
| Quick ratio | 13.2 | 25.0 | 28.5 | 32.8 |
| **Others** | | | | |
| AR/NR Turnover (days) | 34 | 34 | 34 | 34 |
| Inventory Turnover (days) | 100 | 100 | 100 | 100 |
| AP Turnover (days) | 41 | 41 | 41 | 41 |
| Cash Conversion (days) | 93 | 93 | 93 | 93 |

Source: Company data, Morgan Stanley Research (E) estimates

# Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Charlie Chan; Daisy Dai, CFA; Daniel Yen, CFA.

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### Global Stock Ratings Distribution

(as of October 31, 2026)
The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.
For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1575 | 43% | 460 | 49% | 29% | 742 | 44% |
| Equal-weight/Hold | 1537 | 42% | 393 | 42% | 26% | 720 | 43% |
| Not-Rated/Hold | 2 | 0% | 1 | 0% | 50% | 1 | 0% |
| Underweight/Sell | 570 | 15% | 92 | 10% | 16% | 218 | 13% |
| Total | 3,684 | | 946 | | | 1681 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

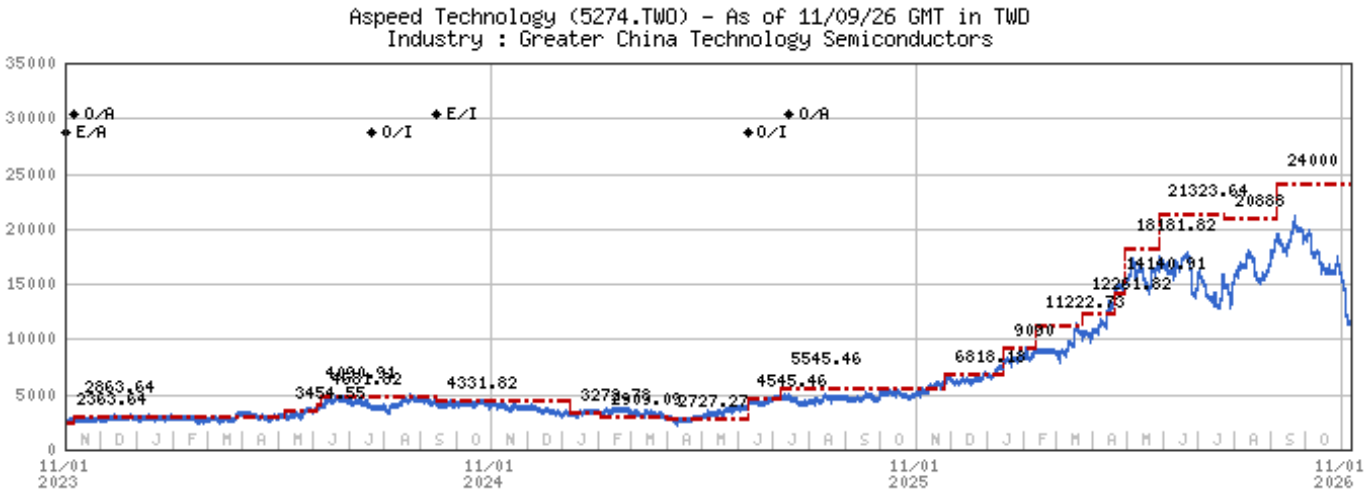
### Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

### Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

### Stock Price, Price Target and Rating History (See Rating Definitions)



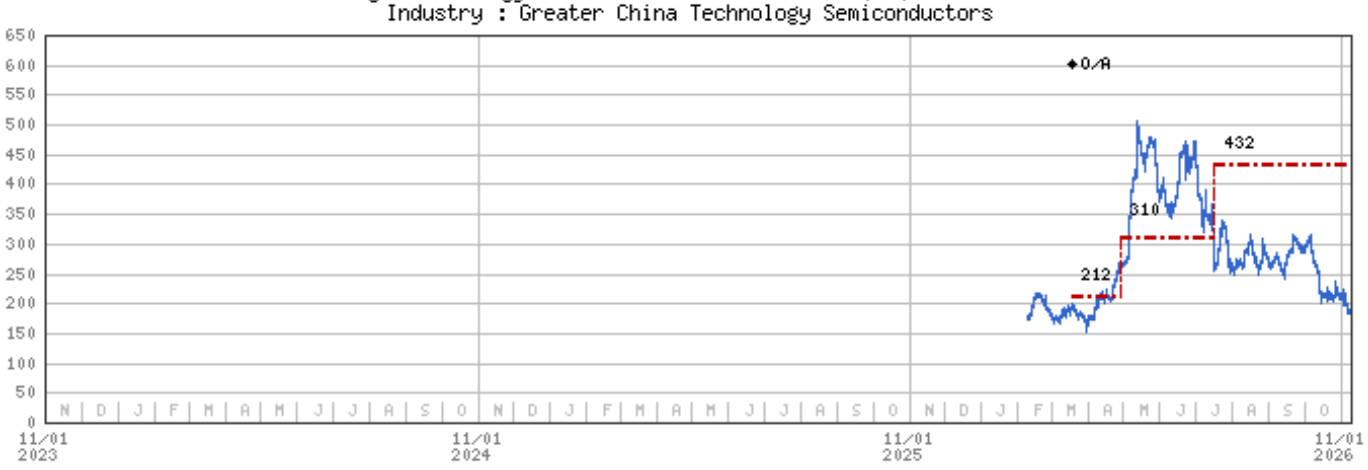

Stock Rating History: 11/1/21 : O/C; 5/20/22 : E/C; 10/4/22 : E/A; 1/11/23 : U/A; 2/22/23 : U/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 9/15/24 : E/I; 6/9/25 : O/I; 7/14/25 : O/A

Price Target History: 6/3/21 : 2111.57; 11/16/21 : 2809.92; 4/8/22 : 3305.79; 5/20/22 : 1983.47; 7/13/22 : 1983.64; 7/19/22 : 1545.45; 10/12/22 : 1450; 1/11/23 : 1377.27; 7/7/23 : 2363.64; 8/8/23 : 2090.91; 10/19/23 : 2363.64; 11/8/23 : 2863.64; 5/7/24 : 3454.55; 6/3/24 : 4090.91; 6/7/24 : 4681.82; 9/15/24 : 4331.82; 1/8/25 : 3272.73; 2/3/25 : 2909.09; 4/1/25 : 2727.27; 6/9/25 : 4545.46; 7/7/25 : 5545.46; 11/26/25 : 6818.18; 1/15/26 : 9090; 2/11/26 : 11222.73; 3/23/26 : 12261.82; 4/20/26 : 14140.91; 4/29/26 : 18181.82; 5/28/26 : 21323.64; 7/23/26 : 20888; 9/7/26 : 24000

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target --  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)  Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.




Stock Rating History: 3/18/26 : O/A

Price Target History: 3/18/26 : 212; 4/28/26 : 310; 7/16/26 : 432

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target --  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)  Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.




Stock Rating History: 11/1/21 : E/C; 5/20/22 : U/C; 10/4/22 : U/A; 12/13/22 : O/A; 2/22/23 : O/I; 5/4/23 : E/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 7/14/25 : NA/A; 1/5/26 : NA/A; 2/4/26 : NA/A; 3/18/26 : O/A

Price Target History: 10/29/21 : 62; 11/16/21 : 80; 4/8/22 : 60; 5/20/22 : 52; 7/19/22 : 44; 10/12/22 : 38; 12/13/22 : 85; 1/11/23 : 78; 5/4/23 : 63; 11/8/23 : 68; 1/23/24 : 70; 7/8/24 : 80; 9/15/24 : 65; 1/24/25 : 83; 3/25/25 : 90; 5/6/25 : 88; 6/9/25 : 100; 7/14/25 : NA; 3/18/26 : 190; 4/28/26 : 274; 7/16/26 : 377

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)  Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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## INDUSTRY COVERAGE: Greater China Technology Semiconductors

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (11/09/2026) |
|---|---|---|
| **Charlie Chan** | | |
| Advanced Wireless Semiconductor Co (8086.TWO) | U (07/14/2025) | NT$94.60 |
| Alchip Technologies Ltd (3661.TW) | O (05/14/2021) | NT$3,110.00 |
| ASE Technology Holding Co. Ltd. (3711.TW) | O (09/15/2024) | NT$561.00 |
| Cambricon Technology Corporation (688256.SS) | O (04/27/2026) | Rmb851.21 |
| CXMT Corp (688825.SS) | O (08/26/2026) | Rmb39.99 |
| Global Unichip Corp (3443.TW) | O (06/24/2026) | NT$6,705.00 |
| Gudeng Precision (3680.TWO) | O (11/25/2025) | NT$422.00 |
| Hua Hong Semiconductor Ltd (1347.HK) | E (03/12/2026) | HK$71.85 |
| Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK) | O (04/27/2026) | HK$60.70 |
| MediaTek (2454.TW) | O (11/28/2025) | NT$3,725.00 |
| MetaX Integrated Circuits (688802.SS) | U (11/02/2026) | Rmb520.43 |
| Nanya Technology Corp. (2408.TW) | O (05/28/2026) | NT$370.00 |
| Phison Electronics Corp (8299.TWO) | E (02/25/2026) | NT$1,650.00 |
| SG Micro Corp. (300661.SZ) | E (11/03/2025) | Rmb81.23 |
| Silergy Corp. (6415.TW) | U (05/19/2026) | NT$427.50 |
| SMIC (0981.HK) | O (10/21/2025) | HK$46.04 |
| TSMC (2330.TW) | O (02/07/2022) | NT$2,235.00 |
| UMC (2303.TW) | O (05/19/2026) | NT$96.70 |
| Vanguard International Semiconductor (5347.TWO) | U (10/30/2026) | NT$132.00 |
| WIN Semiconductors Corp (3105.TWO) | O (10/29/2026) | NT$446.50 |
| **Daisy Dai, CFA** | | |
| ASMPT Ltd (0522.HK) | O (07/24/2025) | HK$92.60 |
| China Resources Microelectronics Limited (688396.SS) | U (03/02/2026) | Rmb48.49 |

| | | |
|---|---|---|
| Empyrean Technology Co Ltd (301269.SZ) | O (11/02/2026) | Rmb91.14 |
| Hangzhou Silan Microelectronics Co. Ltd. (600460.SS) | U (08/25/2025) | Rmb23.54 |
| Hygon Information Technology Co., Ltd. (688041.SS) | O (07/03/2026) | Rmb191.88 |
| Innoscience (2577.HK) | E (10/13/2025) | HK$26.06 |
| JCET Group Co Ltd (600584.SS) | O (09/16/2026) | Rmb52.03 |
| Shanghai Fudan Microelectronics (1385.HK) | O (03/07/2025) | HK$22.62 |
| SICC Co Ltd (688234.SS) | O (03/20/2026) | Rmb78.65 |
| SJ Semiconductor Corp (688820.SS) | E (09/16/2026) | Rmb80.58 |
| StarPower Semiconductor Ltd (603290.SS) | U (10/31/2026) | Rmb70.00 |
| Unigroup Guoxin Microelectronics Co Ltd (002049.SZ) | U (01/10/2023) | Rmb51.16 |
| Universal Scientific Ind. (Shanghai) (601231.SS) | O (11/05/2025) | Rmb18.47 |
| Yangjie Technology (300373.SZ) | O (06/10/2022) | Rmb73.43 |
| **Daniel Yen, CFA** | | |
| AP Memory Technology Corp (6531.TW) | O (07/11/2025) | NT$668.00 |
| ASMedia Technology Inc (5269.TW) | U (10/03/2025) | NT$1,250.00 |
| Aspeed Technology (5274.TWO) | E (11/09/2026) | NT$11,700.00 |
| Egis Technology Inc (6462.TWO) | E (01/28/2026) | NT$85.10 |
| Elan Microelectronics Corp (2458.TW) | E (11/04/2026) | NT$119.00 |
| eMemory Technology Inc (3529.TWO) | O (08/18/2026) | NT$2,015.00 |
| Espressif Systems (688018.SS) | O (05/15/2023) | Rmb162.89 |
| GigaDevice Semiconductor Beijing Inc (603986.SS) | O (05/15/2025) | Rmb238.41 |
| Himax Technologies Inc (HIMX.O) | E (02/04/2026) | US$8.49 |
| Macronix International Co Ltd (2337.TW) | O (09/18/2025) | NT$83.30 |
| Montage Technology Co Ltd (6809.HK) | E (11/09/2026) | HK$179.90 |
| Montage Technology Co Ltd (688008.SS) | E (11/09/2026) | Rmb149.67 |
| Novatek (3034.TW) | U (02/04/2026) | NT$486.50 |
| Nuvoton Technology Corporation (4919.TW) | U (11/10/2025) | NT$97.70 |
| Parade Technologies Ltd (4966.TWO) | U (10/29/2026) | NT$401.50 |
| Powerchip Semiconductor Manufacturing Co (6770.TW) | O (10/27/2025) | NT$58.10 |
| Realtek Semiconductor (2379.TW) | E (01/30/2026) | NT$743.00 |
| Shenzhen Goodix Technology Co Ltd (603160.SS) | U (07/14/2025) | Rmb62.11 |
| Silicon Motion (SIMO.O) | O (05/06/2024) | US$162.76 |
| Winbond Electronics Corp (2344.TW) | O (05/28/2026) | NT$132.50 |
| WPG Holdings (3702.TW) | O (03/16/2026) | NT$90.40 |
| WT Microelectronics Co. Ltd. (3036.TW) | O (01/27/2026) | NT$181.50 |
| **Henry Zhao** | | |
| ACM Research Inc (ACMR.O) | O (03/07/2023) | US$44.61 |
| Advanced Micro-Fabrication Equipment Inc (688012.SS) | O (11/06/2023) | Rmb248.00 |
| Maxscend Microelectronics Co Ltd (300782.SZ) | U (01/11/2021) | Rmb53.28 |
| NAURA Technology Group Co Ltd (002371.SZ) | O (11/06/2023) | Rmb544.81 |
| OmniVision Integrated Circuits Group Inc (603501.SS) | E (10/29/2026) | Rmb86.11 |
| **Lucas Wang** | | |
| AllRing Tech Co. (6187.TWO) | O (09/23/2025) | NT$950.00 |
| FOCI Fiber Optic Communications Inc (3363.TWO) | E (10/09/2026) | NT$377.50 |
| GlobalWafers Co Ltd (6488.TWO) | E (11/04/2026) | NT$563.00 |
| Hon Precision (7769.TW) | O (04/17/2026) | NT$4,040.00 |
| King Yuan Electronics Co Ltd (2449.TW) | O (03/03/2023) | NT$209.50 |
| MPI Corporation (6223.TWO) | O (04/17/2026) | NT$3,705.00 |

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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